PeoplesHR | PAYDAY A Bridge Company

Year-End Payroll Readiness Checklist

What to check, when to check it, and the dates that can't move, from Oct 2026 to Mar 2027. Built for HR and Payroll teams in the Philippines

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The numbers to *keep on your desk*

Dec 23

Pay 13th month by Wednesday

Dec 24 is the legal deadline but it's a special non-working day this year.

₱ 90,0000

Tax-exempt ceiling

For 13th month and other benefits combined. Anything above it is taxable

₱ 250,000

The 0% tax band

Annual taxable pay up to this amount (₱ 20,833 a month) is tax-free under TRAIN.

15%

SSS

Of monthly salary credit ₱ 5,000 to ₱ 35,000. Employer 10%, employee 5%

5%

PhiliHealth

Of basic salary ₱ 10,000 to ₱ 100,000, split 50/50. Up to ₱ 5,000 a month.

2%

Pag-IBIG

Each from employer and employee, on pay up to ₱10,000. Up to ₱2,000 each

Four updates that affect *this* year-end

1. **De minimis ceiling went up**

   RR 29-2025 raised them from Jan 6 2026: rice to ₱2,500 a month, Christmas gifts to ₱6,000 a year and more. The full talbe is on page 5.

2. **Two big BIR deadlines land on a Sunday**

   The 1604-C and alphalist move to Monday, February 1, 2027. TheBIR copy of Form 2316 moves to Monday, March 1, 2027.

3. **Unsigned 2316s won't pass**

   The BIR's copy must carry the employee's signature (RMC 20-2024), sent with the notarized Annex C and Annex F

4. **Minimum wages went up in NCR and CALABARAZON**

   NCR is now ₱755 from September 26, 2026 (Wage Order NCR-28), while NCR-27 is on hold in court. In CALABARZON, Wage Order IVA-23 adds ₱25 to ₱45 a day, up to ₱645, from 15 days after publication.

Get the data right *before December*

Tick each one off as you go. Most ofthe January pain is decided here.

October — Clean the data

Fix records while there's stilltime to chase people for them.

- ☐ **Validate employee master data**
  TINs, legal names, addresses and birthdates must match.Bad records failBIR validation.
- ☐ **Log every 2026 movement**
  New hires, resignations, transfers, rate changes and unpaid leave, all reflected in payroll.
- ☐ **Re-map pay codes to 2026 de minimis**
  Use the RR 29-2025 ceilings on page 5. Any excess goes into the ₱90,000 bucket.
- ☐ **Reconcile YTD per employee**
  Gross,taxable, non-taxable,tax and contributions againstthe GL and Jan–Sep 1601-Cs.
- ☐ **Collect previous-employer 2316s**
  From every mid-year hire. Without them, the annualization and the 2316 will be wrong.
- ☐ **Update minimum wage earners**
  NCR ₱755 / ₱718 from Sep 26. CALABARZON per Wage Order IVA-23. Re-flag MWEs.

November — Reconcile and test

Run the numbers early so December holds no suprises.

- ☐ **Run a test annualization**
  Jan–Oct actuals plus projected Nov–Dec. Warn anyone facing a big December deduction.
- ☐ **Settle 13th month for leavers**
  Pro-rata, paid with final pay within 30 days of separation.
- ☐ **Reconcile SSS, PhilHealth, Pag-IBIG**
  Posted vs. remitted forJan–Oct. Raise gaps with the agencies now, notin January.
- ☐ **Compute 13th month**
  Basic salary earned ÷ 12. Leave out OT, premiums, holiday pay, night differential and allowances.
- ☐ **Project who crosses ₱90,000**
  13th month, bonuses, other benefits and any de minimis excess, added together.
- ☐ **Set your December cut-offs**
  Tell managers the date OT and attendance corrections must be in.

> “Most year-end payroll problems start months before December. **A clean year-todate file by the end of November** is your best protection againstJanuary penalties.”

Pay on time, *file without the scramble*

December is for paying and closing.January to March is for reporting what you closed.

December — Clean the data

Payouts, final tax and getting the files ready for January.

- [ ] **Pay 13th month by Wed, Dec 23**
  Dec 24 is a special non-working day. Keep proof of paymentfor each employee.
- [ ] **Load December holiday pay rules**
  Dec 8, 24, 31 are special:130% if worked. Dec 25, 30 are regular: 200% if worked.
- [ ] **Run the final annualization**
  On the last December payroll. Collect any under-withholding before the year closes.
- [ ] **Recompute a sample by hand**
  If you can't explain where a number came from, neither can an auditor.
- [ ] **Validate the alphalist draft**
  Run itthrough the latestBIR Alphalist Data Entry and Validation Module.
- [ ] **Prepare 2316s for signing**
  Book employee signing sessions now, with wet or electronic signatures.

Q1: Jan - March — Reconcile and test

Run the numbers early so December holds no suprises.

- [ ] **Jan 15 · December 1601-C**
  Manual filers; eFPS files Jan 11–15 by group. Also due: DOLE 13th-month report.
- [ ] **Jan 25 · Refund excess tax**
  Return any over-withheld tax from the yearend annualization to employees.
- [ ] **Jan 29 · Hand out signed 2316s**
  The Jan 31 deadline is a Sunday, so give employees their copies on Friday.
- [ ] **Feb 1 · File 1604-C and alphalist**
  1604-C via eFPS, alphalist DAT file via eSubmission. Due Jan 31, a Sunday.
- [ ] **Mar 1 · Submit 2316s and 1604-C copy**
  Signed 2316s with the 1604-C hard copy and notarized Annex C and F. Due Feb 28, a Sunday.
- [ ] **Archive everything**
  Registers, approvals, signed 2316s,BIR and DOLE receipts. Keep them for 5 years.

December 2026 to March 2027

Deadlines thatfall on a weekend move to the next working day (BIR RMC No. 65-2016). eFPS filers follow their group's staggered dates.

Thursday
Dec 10
BIR

November 1601-C (manual filters)

Wednesday
Dec 23
Pay

Pay 13th month (recommended)

Thursday
Dec 24
Pay

13th-month legal deadline, and a special non-working day

Fri & Wed
Dec 25 & 30
Holiday

Regular holidays: Christmas Day and Rizal Day

Thursday
Dec 31
Holiday

Special non-working day. Last 2026 payroll and final annualization

Friday
Jan 15
BIR · DOLE

December1601-C (manual filers) and the DOLE 13th-month compliance report

Monday
Jan 25
Pay

Refund excess withholding to employee

Friday
Jan 29
BIR

Give employees their signed 2316 (the Jan 31 deadline is a Sunday)

Monday
Feb 1
BIR

1604-C via eFPS and the alphalist DAT file via eSubmission (due Sunday,Jan 31)

Monday
March 1
BIR

1604-C hard copy with signed 2316s and Annex C and F (due Sunday, Feb 28), and 1604-E

Tax-free upto these limits

RR 29-2025

Rice subsidy	₱ 2,500/month
Uniform and clothing	₱ 8,000/year
Actual medical assistance	₱ 12,000/year
Christmas and anniversary gifts	₱ 6,000/year
Laundry allowance	₱ 400/month
Medical cash allowance, dependents	₱ 2,000/semester
Monetized unused vacation leave	12 days
OT and night-shift meals	30% of min.wage
CBA and productivity incentives	₱ 12,000/year
Employee achievement awards	₱ 12,000/year

Anything above a ceiling isn'tlost: it counts toward the ₱90,000 exempt bucket for 13th month and other benefits.

Mistakes we see every year

- **Missing previous-employer 2316s**
  Mid-year hires end up under-withheld, with a wrong 2316.
- **Last year's de minimis ceilings**
  Still set up in the system after RR 29-2025 raised them.
- **Leavers dropped from the alphalist**
  It must include everyone paid during the year.
- **Late OT and attendance corrections**
  They shiftthe 13th-month base and the annualization.
- **TIN and name mismatches**
  Across the HRIS, alphalist and 2316. Errors can count as non-submission.
- **Paying 13th month on December 24**
  It's a special non-working day this year. Pay by the 23rd.

PeoplesHR | PAYDAY A Bridge Company

Make next year-end the calm one.

Bridge PayDay brings the Philippine payroll expertise: processing, compliance and computation. PeoplesHR brings the HR and payroll platform that keeps the data behind every payroll connected, and flags unusual changes before you run payroll.

Talk to us
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Based on Philippine rules and issuances available as of October 2026. A compliance aid, notlegal ortax advice. Confirm specific cases with your adviser